Team 28,

Counsel for Respondent

No. 18-0918

Supreme Court of the United States

October Term, 2018

IN RE BACKSTREETS PLOWING, INC,

Debtor,

STEVEN VIN SANT, CHAPTER 7 TRUSTEE,

Petitioner

v.

MILTON WEINBERG,

Respondent

On writ of Certiorari from the Unites States

Court of Appeals for the Thirteenth Circuit

BRIEF FOR RESPONDENT

Team R28

Counsel for Respondent

QUESTIONS PRESENTED

I. Whether a secured creditor violates 11 U.S.C. § 362(a)(3) by passively retaining collateral lawfully repossessed prepetition.

II. Whether the express language of § 503(b)(3)(D) bars a court's ability to grant a substantial contribution administrative expense under chapter 7 of the Code.

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Legislative History

H.R. Rep. No. 95-595 at 88 (1978)

OPINIONS BELOW

The decision of the U.S. Bankruptcy Court for the District of Moot is unreported. The decisions of the Bankruptcy Appellate Panel and the U.S. Court of Appeals for the Thirteenth Circuit are also unreported. The opinion of the Thirteenth Circuit is set forth in No. 17-0805, dated March 5, 2018, and is incorporated in the record on appeal (hereinafter. "R.").

STATEMENT OF JURISDICTION

The formal statement of jurisdiction is waived pursuant to Competition Rule VIII.

STATUTORY PROVISIONS

The following relevant statutory provisions are listed below and reproduced in Appendices A through J.

11 U.S.C. § 102

11 U.S.C. § 105

11 U.S.C. § 362

11 U.S.C. § 503

11 U.S.C. § 507

11 U.S.C. § 541

11 U.S.C. § 542

11 U.S.C. § 548

11 U.S.C. § 704

STATEMENT OF THE FACTS

Backstreets Plowing, Inc., the Debtor, operated a seasonal snow plow business outside the City of Badlands. (R. at 3). Backstreets borrowed $450,000 from Milton Weinberg, the Respondent, so that Backstreets could purchase new snow plow trucks. (R. at 3–4). Backstreets granted Weinberg a security interest in the trucks, secured by a promissory note, and agreed to make monthly payments to Weinberg beginning December 2015. (R. at 4).

After acquiring new trucks, Backstreets underbid its local competitors to obtain the plowing contract with the City of Badlands. (R. at 4). Despite experiencing a profitable winter, Backstreets failed to make the December 2015, January 2016, and February 2016 loan payments to Weinberg. (R. at 5). In April 2016, Weinberg filed suit on the note and included Backstreets' sole shareholder, Christopher Clemons, for his personal guarantee. (*Id.*) Weinberg obtained a default judgment in October 2016 against Backstreets and Clemons for $450,000, jointly and severally. (*Id.*)

Unable to obtain the missed payments, Weinberg hired a repossession company to begin efforts to collect on the previously awarded default judgment. (R. at 6). In January 2017, E Street Auto Recovery successfully repossessed the trucks from Backstreets and delivered them to Weinberg's warehouse. (*Id.*) Backstreets filed a chapter 11 petition on February 4, 2017. (*Id.*) Shortly thereafter, Backstreets motioned the bankruptcy court to determine Weinberg's retention of the trucks constituted a violation of the automatic stay under § 362(a)(3). (*Id.*) The bankruptcy court found that Weinberg had not violated the automatic stay and held that "mere retention of property lawfully repossessed prepetition is not an 'act to . . . exercise control over property of the estate under § 362(a)(3).'" (*Id.*)

Backstreets decided that reorganization would be futile (R. at 6–7). Despite a profitable winter in 2016, Backstreets' failure to pay on Weinberg's loan, in combination with the City's decision not to renew the plowing contract, left Backstreets with insufficient cash. Subsequently, Backstreets converted from a chapter 11 to a chapter 7. (R. at 6–7). On April 13, 2017, Steven Vin Sant was appointed as trustee. (R. at 7).

In May 2017, Weinberg hired a collection law firm to pursue collection efforts against Clemons. (*Id.*) The collection firm discovered that Clemons transferred approximately $100,000 to a bank account in the name of Patti Clemons, Christopher Clemons' daughter. (*Id.*) The collection firm gathered sufficient evidence to determine that the transfers were avoidable as fraudulent transfers. (*Id.*) Weinberg voluntarily provided Vin Sant with the evidence. (*Id.*) Vin Sant filed a complaint against Patti Clemons to recover the funds for the estate. (*Id.*) As a result, Patti Clemons agreed to pay $75,000 to the estate in satisfaction of the claim against her. (*Id.*)

After the settlement, Weinberg filed a motion seeking a § 503(b)(3)(D) administrative expense for the $25,000 in legal fees incurred to investigate and discover the fraudulent transfers (*Id.*) Despite objection by Vin Sant that administrative expenses for substantial contributions are limited to chapter 9 and 11 cases, the bankruptcy court approved Weinberg's motion and granted him an administrative expense for $25,000. (R. at 8).

In an attempt to liquidate the estate, Vin Sant offered to sell Backstreets' snow plow trucks to Tenth Avenue. (R. at 8). After failed negotiations with Tenth Avenue, Vin Sant accepted an offer from Stone Pony. (Id.) Stone Pony would purchase substantially all of Backstreets' assets, excluding the trucks, for $100,000 less than Tenth Avenue's offer. (R. at 8–9).

The bankruptcy court found in favor of Weinberg on both issues. (R. at 6). The court held that no violation of the stay had occurred by retention of the snow plow trucks, and Weinberg's

substantial contribution warranted an administrative expense. (R. at 6–8). Vin Sant appealed the holding on both issues, which were later consolidated for review under the bankruptcy appellate panel. (R. at 9). The appellate panel affirmed the bankruptcy court's holding on both issues. (*Id.*) Vin Sant appealed to the U.S. Court of Appeals for the Thirteenth Circuit. (*Id.*) The court of appeals affirmed the bankruptcy appellate panel's holding. This appeal follows.

SUMMARY OF ARGUMENT

This is a case about enforcing established principles and equity inherent in Bankruptcy. The Bankruptcy Code protects creditors' rights as much as the debtors' rights. Weinberg, a secured creditor, seeks adequate protection of his collateral after Backstreets, who despite being in the financial position to do so, failed to make payments on the loan. When a debtor fails to make a payment to a secured creditor, that creditor has the right to repossess its collateral.

Two competing views on statutory interpretation are at odds regarding property lawfully repossessed prepetition. The majority rule states that passive retention of property, even property lawfully repossessed prepetition, violates the automatic stay under § 362(a)(3). However, the minority view takes a closer look at the statutory language, legislative history, and policy rationales to reveal that passive retention never constitutes a violation of the automatic stay.

Under the minority view, an affirmative act of the creditor is required to constitute a violation of the stay. By proper interpretation of § 362(a)(3), the minority view interprets the word "act," in its common understanding, to mean something other than passively refusing to relinquish control of property.

The requirement of an affirmative act harmonizes with the legislative history of both the automatic stay and turnover provisions of the Code. A further act allows a creditor to secure adequate protection of his interests in the property. This also ensures that property interests vested

in the creditor do not dissolve into the estate of the debtor before protection can be ensured, especially when the property at issue was relinquished prepetition.

Issue two centers on the fact that equitable principles govern the exercise of bankruptcy jurisdiction. Administrative expenses are given preference over claims of general unsecured creditors and are used to compensate various parties to the bankruptcy case. *See* 11 U.S.C. 507(a). Weinberg's efforts to uncover the fraudulent transfers resulted in a $75,000 benefit to the estate. His efforts should not go unrewarded simply because Backstreets' case operates under chapter 7 of the Code, rather than under chapter 9 or 11.

A chapter 7 creditor who provides the trustee with specific information that leads to the recovery of assets and the avoidance of fraudulent transfers should be granted a substantial contribution claim. Efficiencies created for the trustee should not go unrewarded. There is a rebuttable presumption that a chapter 7 creditor should not receive this type of administrative expense. However, a creditor may overcome this presumption with evidence that their actions were (1) warranted under the specific facts of the case and (2) not an attempt to thwart the chapter 7 process. Weinberg did not duplicate the Trustee's duties in an effort to receive compensation, thus he did not thwart the chapter 7 process.

When Weinberg discovered the transfers and realized that avoidance would substantially benefit the estate, he turned the evidence over to the trustee, Vin Sant. Vin Sant merely had to file the complaint against Patti Clemons. (R. at 7). If Vin Sant had uncovered the transfers himself, he would surely seek the same payment as Weinberg. *See* § 502(b)(2). It would be inequitable to deny Weinberg's claim just because the Backstreets' case was converted from a chapter 11 to a chapter 7.

Congress understood that it could not contemplate every fathomable administrative expense, therefore it used the term "including" in the prefatory language of § 503(b). This demonstrates Congressional intent to create a non-exhaustive list of administrative expenses within the subsections of the statute. Congress recognizes that each bankruptcy case is unique. The broad prefatory language of the statute negates the use of the canon *expression unius est exclusion alterius.* Therefore, the express language, "for a substantial contribution…in a case under chapter 9 or 11 . . ." in § 503(b)(3)(D) does not create an exclusive list. All provisions of a statute should be given effect. To accomplish this, the term "including" should be read to preface the more specific expenses mentioned in § 503(b). Courts should reference the subsections of § 503(b) as guideposts when reviewing administrative expense claims.

The goal of § 503(b) is to promote equitable outcomes and reward participation in the bankruptcy case. A *per se* ban on substantial contribution claims in chapter 7 cases would thwart the purposes of § 503(b) and the overall purpose of the Code. Bankruptcy courts have the equitable authority to allow claims when warranted, especially when the pertinent facts, equitable considerations, and statutory language support it. The *Connolly* approach encourages meaningful participation in the administration of the bankruptcy case and fosters equitable resolutions.

STANDARD OF REVIEW

The facts of this case are undisputed. (R. at 3 n.2). The issues on appeal present only questions of law. Questions of law are reviewed de novo. *In re AppliedTheory Corp.*, 493 F.3d 82, 85 (2d Cir. 2007). Conclusions of law made by a bankruptcy court are also reviewed de novo. *In re Ames Dept. Stores, Inc.*, 582 F.3d 422, 426 (2d Cir. 2009). Under this standard, the reviewing court decides issues as though it were the original trial court. *Razavi v. Comm'r of Internal Revenue*, 74 F.3d 125, 127 (6th Cir. 1996).

ARGUMENT

I. A SECURED CREDITOR MAY PASSIVELY RETAIN LAWFULLY REPOSSESSED ESTATE PROPERTY PURSUANT TO § 362(a)(3).

Issues arise when property is lawfully repossessed by a secured creditor prepetition. Section 362(a)(3) of the Bankruptcy Code creates an automatic stay that protects the debtor's estate and preserves the status quo. Two competing views contemplate the scope of the automatic stay provision of the Code. The majority view requires that the automatic stay provision be read with the turnover provision under § 542. Alan N. Resnick & Henry J. Sommer, *Collier on Bankruptcy* 362.03[5], 362–29 (16th ed. 2018). These sections assist "the trustee in obtaining possession of property of the estate that is in the possession of third parties, by requiring turnover of the property of the trustee." *Id.* The minority view finds that careful analysis in conjunction with the legislative history is key to understanding §§ 362(a)(3) and 542(a). *See In re Hall*, 502 B.R. 650, 661 (Bankr. D.D.C. 2014). This narrow view aligns with the Code's interest in protecting the rights of both creditors and debtors.

Protections granted during a debtor's rehabilitation efforts under the Code does not contemplate denying the creditor of adequate protection. Section 362(a)(3) facilitates the rehabilitation of a debtor's business by securing property for reorganization. *See U.S. v. Whiting Pools*, 462 U.S. 198, 203 (1983). Reorganization groups all the debtor's property into an estate to aid in debt repayment and credit rehabilitation. *See Thompson v. Gen. Motors Acceptance Corp.*, 566 F.3d 699, 703 (7th Cir. 2009). The property to be reorganized "necessarily extends to all property, even property lawfully seized pre-petition." *Id.* Failure to turn over property violates § 362(a)(3) unless otherwise provided in § 542. *Id.* at 703. However, secured creditors may raise defenses such as adequate protection under § 542.

The minority view allows only for an "affirmative act" to trigger a stay violation. In essence, "§ 362(a)(3) does not bar continued retention of property seized prepetition." *In re Hall*, 502 B.R. 650, 653 (Bankr. D.D.C. 2014). The minority view reaches its conclusion by adhering to a strict reading of the statutory language, and by properly following the legislative history of the Bankruptcy Code.

A. The language of § 362(a)(3) requires an affirmative act to violate the automatic stay.

Section 362 stands as a central provision to the Bankruptcy Code that creates an automatic stay once a debtor files for bankruptcy. The automatic stay "prevents creditors from taking further action against him except through the bankruptcy court." *Price v. Rochford*, 947 F.2d 829, 831 (7th Cir. 1991). Section 362 "operates as a stay . . . of . . . any *act* to obtain possession of property of the estate or of property from the estate or to exercise control over property of the estate." 11 U.S.C. § 362(a)(3) (emphasis added). Courts disagree on what constitutes a violation of § 362(a)(3).

Central to this disagreement is the interpretation of the word "act." The majority rule stands for the proposition that "the act of *passively holding* onto an asset constitutes '*exercising control'* over it, and such action violates § 362(a)(3) of the Bankruptcy Code." *Thompson* 566 F.3d at 703; *see also Weber v. SEFCU*, 719 F.3d 72, 81 (2d Cir. 2013) (emphasis added). However, the language of the code and the legislative history contemplate some additional act before a violation occurs. The majority view's reliance on practical and policy considerations is erroneous because it is not a "faithful adherence to the text." *WD Equipment, LLC v. Cowen*, 849 F.3d 943, 949 (10th Cir. 2017).

The minority rule adheres to a strict reading of the statutory text. Proper statutory interpretation "starts where all such inquires must begin: with the language of the statute itself."

Id. (citing *Ransom v. FIA Card Servs. N.A.*, 562 U.S. 61, 69 (2011). Where "the statute's language is plain, the sole function of the courts is to enforce it according to its terms." *Id.* (citing *Frieouf v. United States* 938 F.2d 1099, 1102–03 (10th Cir. 1991).

A closer review of § 362(a)(3) sheds light on the sound interpretation of the Bankruptcy Code by the minority view. When a debtor files a bankruptcy petition, § 362(a)(3) prohibits "any *act* to obtain possession of property of the estate." 11 U.S.C. 362(a)(3). "Act" means "something done or performed" or "the process of doing or performing." Act Definition, *Black's Law Dictionary* (10th ed. 2014), *available at* Westlaw. The language of the statute itself "suggests that an affirmative act of exercising control is required." *See Beker Indus. Corp. v. Fla. Land and Water Adjudicatory Comm'n* 57 B.R. 611, 626 (Bankr. S.D.N.Y. 1986). Thus, § 362(a)(3) "serves as a restraint only on *acts* to gain possession or control over property of the estate." *U.S. v. Inslaw, Inc.*, 932, F.2d 1467, 1474 (App. D.C. 1991) (emphasis added). Hence, once a petition has been filed, an "act," or some performance, is required before a violation can occur under § 362(a)(3). Passive retention is not enough to constitute a violation of the statute.

A creditor must "do or perform" an act to violate § 362(a)(3). In other words, a violation requires some "affirmative act to change control of property of the estate." *Hall*, 502 B.R. at 653. A stay, therefore, prevents a creditor "from *doing* something to obtain possession of or to exercise control over the estate's property." *Cowen,* 849 F.3d at 949. Contrary to the majority view, a creditor does not act by "passively holding onto an asset." *Thompson*, 566 F.3d at 703. Therefore, a creditor is not obligated to turnover property acquired prepetition because the "automatic stay, as its name suggests, serves as a restraint only on acts to gain possession or control over property of the estate." *Inslaw*, 932 F.2d at 1474. As stated by Circuit Judge McKay, "[s]tay means stay, not go." *Cowen*, 849 F.3d at 949.

The majority also violates other principles of statutory construction. It is an "elementary rule of construction that 'the act cannot be held to destroy itself.'" *Citizens Bank v. Strumpf,* 516 U.S. 16, 20 (1995). The majority interpretation of § 362(a)(3) destroys a secured creditor's rights under § 542(a) by robbing the creditor of adequate protection. In this way, the creditor would be compelled by § 362(a)(3) to relinquish possession of estate property without the necessity of a turnover order. *See Hall*, 502 B.R. at 666. Such an interpretation would "produce absurd results [and is] to be avoided if alternative interpretations consistent with the legislative purpose are available." *Griffin v. Oceanic Contractors, Inc.*, 458 U.S. 564, 575 (1982). The minority view contemplates such alternative interpretations by a strict adherence to the legislative history. Under the majority view, a secured creditor would be forced to turnover property even if it were not required under § 542(a)[1] and failure to do so would result in a stay violation. *See* Ralph E. Brubaker, *Turnover, Adequate Protection, and the Automatic Stay (Part II): Who is "Exercising Control" Over What*, 33 BANKR. L. LETTER 1 (Sept. 2013).

For example, in *In re Colortran, Inc.*, Expeditors, the secured creditor, violated the automatic stay when it refused to turn over property of the estate even though the lien it held would have been destroyed post turnover. *Expeditors Int'l of Wash., Inc. v. Colortran, Inc.*, 210 B.R. 823, 827 (B.A.P. 9th Cir. 1997). The panel, relying on the majority view, held that § 542(a) is self-executing and requires the secured creditor to turn over property possessed prepetition. *Id.* By requiring turnover despite the destruction of the lien, *Colortran*, illustrates the absurd outcome that results from allowing turnover without adequate protection.

The majority view interprets § 362(a)(3) by reading the section in conjunction with 11 U.S.C. §542(a). The majority view argues that 11 U.S.C. § 542(a) is "self-executing" and "requires

[1] For example, when a creditor establishes a proper defense under § 542(a) because the property is of inconsequential value or there is no adequate protection.

that any entity in possession of property of the estate deliver it to the trustees [sic], without condition or any further action." *In re Hall*, 502 B.R. 650, 654 (Bankr. D.D.C. 2014) (citing *Weber*, 719 F.3d at 79). This turnover section gives the debtor a possessory interest in the property and represents an act to "exercise control" over the property in which the estate's equitable interest lay. *Weber*, 719 F.3d at 79. However, this interpretation disregards the fact that a debtor may not be in actual possession of the property on the date of filing.

The majority's reliance on § 542(a) is misplaced because it lacks consideration of a creditor's right to adequate protection. Section 542(a) states that a creditor "shall deliver" property of the estate to the trustee "unless such property is of inconsequential value or benefit to the estate." 11 U.S.C. § 542(a). Nothing in the language of this statute denies a creditor the right to adequate protection. The majority view, relying on the Supreme Court's ruling in *Whiting Pools*, requires that "an entity . . . holding any property of the debtor that the trustee can use under § 363 to turn that property over to the trustee." *Whiting Pools*, 462 U.S. at 205. This interpretation does not consider the legislative history behind the codification of the turnover order under § 542(a). Here, Weinberg passively retained possession of the snow plow trucks that had been lawfully repossessed prepetition. (R. at 6). Weinberg did not commit any "act" as contemplated by the statute and therefore did not violate the stay.

B. Legislative history of the Bankruptcy Code supports the minority view.

The majority reads the language of the Code too broadly and fails to consider that § 542(a) serves as a codification of turnover powers. Congress does not "hide elephants in mouseholes." *Whitman v. American Trucking Ass'ns*, 531 U.S. 457, 468 (2001). A narrower interpretation suggests that the use of the word "control" in the 1984 Amendment to § 362(a)(3) distinguishes "the newly prohibited 'control' from the already prohibited acts to obtain 'possession,' in order to

reach nonpossessory conduct that would nonetheless interfere with the estate's authority over a particular property interest." Ralph E. Brubaker, *Turnover, Adequate Protection, and the Automatic Stay (Part II): Who is "Exercising Control" Over What*, 33 BANKR. L. LETTER 1 (Sept. 2013). If Congress intended to add any sort of "affirmative obligation to the automatic stay provision . . . it would have done so explicitly." *Cowen*, 849 F.3d at 950. Without evidence of any explicit intent from Congress, the majority view "finds no support in the text or its legislative history." *Id.*

The legislative history does not support a reading of § 542(a) as "self-executing." Prior to the 1984 Amendment of § 362(a)(3) that added the phrase "exercise control," § 542(a) was not read by any court as "self-executing." *See Hall*, 502 B.R. at 653. Before 1984 courts "*uniformly* viewed § 542(a) as providing bankruptcy courts with the authority to order the turnover of collateral . . . but with the courts authorized to require protection of a secured creditor's interest before directing turnover." *Id.* at 657 citing *In re Riding*, 44 B.R. 846, 848–49 (Bankr. D. Utah 1984). In other words, the requirement of adequate protection prior to turnover was mandatory.

By interpreting § 542(a) as "self-executing," the majority fails to consider the legislative history. The 1984 Amendments of the Bankruptcy Code "broadened the already sweeping provisions of the automatic stay even further to prohibit expressly not only 'acts to obtain possession' of property of the estate, but also 'any act . . . to exercise control over the property of the estate." *Weber*, 719 F.3d at 80. The majority relies on "the mere fact that Congress expanded the provision to prohibit conduct above and beyond obtaining possession of an asset [and] intended to prevent creditors from retaining property of the debtor." *Cowen*, 849 F.3d at 949 citing *Weber*, 719 F.3d at 80.

The legislative history supports a narrow reading of the turnover provision. Section 542(a) has been part of the Bankruptcy Code since its enactment in 1978 and has remained unchanged. *See Hall*, 502 B.R. at 653. It wasn't until the decision in *Whiting Pools*, followed by the congressional amendment to § 363(a)(3), that the language "exercise control" was added. *Id.* Following this addition of the "exercise control" language, the majority view began to read § 542(a) as "self-executing." *Id.* Despite the majority's reading of the amended provision, "none of the language of § 362(a)(3) suggests that Congress meant by its amendment to change the meaning and operation of § 542(a)." *Id.*

Section 542(a) is distinguishable from § 362(a)(3). There is no "textual link between § 542 and § 362." *Cowen*, 849 F.3d at 950. This turnover provision requires an additional act and should not be read as automatic. The language of § 542(a) implies that some additional act is required, rather than operating automatically because this section is subject to defenses such as a lack of adequate protection. *Id.* at 655. Additionally, "bankruptcy courts do not need § 362 to enforce the turnover of property to the estate." *Id.* For these reasons, this turnover provision is not self-executing and requires some additional act.

Section 542(a) serves as a codification of the pre-code practice of turnover. A trustee may recover property that "was merely out of the possession of the debtor, yet remained 'property of the debtor.'" *Inslaw*, 932 F.2d at 1471 (citation omitted). The purpose of the provision serves "to empower the trustee in bankruptcy to get hold of the property of the debtor, some of which will be in possession, custody, or control of third parties." *Boyer v. Carlton, Fields, Wards, Emmanuel, Smith & Culter, P.A.*, 100 F.3d 53, 56 (7th Cir. 1996). This section, therefore, "permits an entity in possession of estate property *voluntarily* to relinquish possession of such property to the trustee *in lieu of turning over the property* to a debtor who lacks the rights of a trustee." *Hall*, 502 B.R.

at 656. In other words, voluntarily turning over property allows the creditor time to secure adequate protection, and requires an additional act, rather than being automatic.

The pre-Code history of § 542(a) allows for adequate protection before requiring turnover of estate property. Unlike § 362(a), § 542(a) "does not operate as a statutory injunction and thus does not enjoy the status of an order as to which contempt sanctions may lie if disobeyed." *Id.* Instead, the pre-codification practice allows for a court ordered turnover, "but with the turnover conditioned on provision of adequate protection." *Id.*

It is imperative to follow pre-Code practice. The Supreme Court held in *Whiting Pools* that "[n]othing in the legislative history evinces a congressional intent to depart from that [pre-Code] practice." 462 U.S. at 208. Thus, "the bankruptcy court generally has power under § 542 to order the turnover of property repossessed or executed upon by a secured creditor . . . following the debtor's default and prior to bankruptcy." *Id.* at 156. In this regard, § 542(a) is not self-executing. *See Hall*, 502 B.R. at 657. Instead, § 542(a) "simply provides an express statutory basis for [a] bankruptcy court to enter an injunctive order compelling turnover of identified property in the possession of a third party." *Id.* This is consistent with the pre-Code practice regarding turnover. As such, "a third party's *mere possession* of that property . . . does not contravene any injunctive orders of the court; *only a knowing violation* of a duly entered turnover is contemptuous conduct." *Id.* The established practice requires more than mere possession or passive retention to violate the stay. Similarly, by merely possessing the snow plow trucks, Weinberg did not violate the turnover provision.

The majority view disregards established practices that contemplate a post-petition act before a stay violation occurs. Section 362(a)(3) bars acts "to obtain possession," suggesting that the "exercise control" language only serves to prohibit some affirmative act to gain control of

estate property, rather than allowing for passive possession to trigger a violation. *See* Brubaker, Part II at 3–4. A common example of how the language "exercise control" serves purposes other than forcing turnover is when a creditor attempts to exercise control over "intangible property rights that belong to the estate, such as contract rights or causes of action." *Hall*, 502 B.R. at 665. Section 362(a)(3) "preserves and guards against interference with them by staying any act to exercise control over estate property." *Id.* In this context, the language of § 363(a)(3) does not require relinquishment of property possessed prepetition. *See Id.* Here, Weinberg lawfully repossessed the snow plow trucks prepetition, and was thus not required to relinquish the property under § 362(a)(3). (R. at 6). Use of the word "control" in this context contemplates protections for property rights not considered during the initial drafting of the Code, rather than allowing for violation of the stay provision through passive retention of property possessed prepetition.[2]

C. The policy behind protecting a secured creditor's interest requires that adequate protection be established prior to turnover.

A creditor's right to adequate protection is fundamental. When a creditor's lien "might be destroyed if its collateral were released to the trustee without some provision for adequate protection, it stands to reason that the creditor ought to be able to defend against turnover on the basis of lack of adequate protection before being required to turn over the collateral." *In re Bernstein*, 252 B.R. 846, 850 (Bankr. D.D.C. 2000). Interpreting § 542(a) to require mandatory

[2] Professor Brubaker notes that the use of the word "control" does not in and of itself allow for passive retention to constitute a violation of the automatic stay.

> Use of the word "control" in the 1984 amendment to § 362(a)(3) suggests that the drafters meant to distinguish the newly prohibited "control" from the already-prohibited acts to obtain "possession," in order to reach nonpossessory conduct that would nonetheless interfere with the estate's authority over a particular property interest. Indeed, the legislative history explaining the originally enacted version of § 362(a)(3) also suggested such a distinction, although the original statutory language clearly did not address nonpossessory "control."

Brubaker, Part II at 3.

turnover "would result in the creditor being in contempt if it delayed making turnover while it pursued a request for adequate protection." *Hall*, 502 B.R. at 660. The Supreme Court held in *Whiting Pools* that a secured creditor "under section 363(e), remains entitled to adequate protection for its interests." 462 U.S. at 211–12. Therefore, a secured creditor should be able to raise defenses to turnover, such as adequate protection.

Forcing turnover destroys a creditor's right to adequate protection. In this regard, "the right of adequate protection cannot be rendered meaningless by an interpretation of §§ 362(a)(3) and 542(a) that would compel turnover even before an opportunity for the court's granting adequate protection." *Citizens Bank of Maryland v. Strumpf*, 516 U.S. 16, 20 (1995). Requiring immediate turnover would destroy the right to adequate protection and result in destruction of collateral by some accident without any form of insurance to the creditor, rendering its lien worthless. *See Hall*, 520 B.R. at 660. This result would deny the creditor adequate protection.

The turnover provision is rooted in equity. Codification of the turnover provision provides creditors with "equitable defenses . . ." *Hall*, 520 B.R. at 662 (citing *In re Kabler*, 230 B.R. 525, 526 (Bankr. E.D.N.C. 1999)). The danger of the majority view is that a self-executing turnover provision "might capitulate to the trustee's demand for turnover instead of incurring the expense of a contempt proceeding and risk that the court might mistakenly reject its defense of ownership, and hold it to have been in contempt." *Id.* at 663. Surely, Congress did not contemplate this result. *See Inslaw*, 932 F.2d at 1473 (stating "it is difficult to believe that Congress intended a violation whenever someone already in possession of property mistakenly refuses to capitulate to a bankrupt's assertion of rights in [property]"). The threat of contempt would even deter creditors who have "a valid or non-frivolous defense to turnover under § 542(a)." *Hall*, 520 B.R. at 663. Weinberg acted as any reasonable creditor would have, given that Backstreets, despite

experiencing a profitable winter, failed to make loan payments for three months. (R. at 5). Weinberg held the snow plow trucks to secure adequate protection for his property interest and relied on established law to invoke a proper defense to turnover.

D. A creditor may passively retain collateral seized prepetition without exercising control over the possessory interest of the property.

Lawful repossession of collateral seized prepetition shields a secured creditor from violating the automatic stay. Property lawfully repossessed prepetition is no longer in the possession of the debtor; "accordingly the creditor's continued retention of possession is not an exercise of control over any existing possession by the debtor of the property." *Hall*, 520 B.R. at 667. The existing property interest held by the debtor prior to repossession does not survive because "possession is not an interest in property that becomes property of the estate under § 541(a)(1) upon the commencement of the case." *Id.* Rather, property of the estate includes "[a]ny interest in property that the estate acquires after the commencement of the case." 11 U.S.C. § 541(a)(7). Possession "is *not* an interest of the debtor in property constituting property of the estate." *Hall,* 520 B.R. at 667. Because this property interest does not transfer, a debtor in possession does not "exercise control" over a property interest in the estate by passive retention. *Id.* Therefore, Weinberg did not "exercise control" of the snow plow trucks. He repossessed the property prepetition which severed any possessory interest in the trucks that Backstreets held. (R. at 6).

Section 542(a) is a codification of pre-Code practices and does not convey any property interest to the estate. A refusal to turnover prepetition property is "not an act to exercise control over property of the estate." *See Inslaw*, 932 F.2d at 1473. The Court's holding in *Whiting Pools* that § 542(a) grants possessory interest to the debtor of property "not held by the debtor at the commencement of reorganization proceedings" also includes the creditor's right to adequate

protection. *See Hall*, 520 B.R. 667–68 (citing *Whiting Pools*, 462 U.S. at 207). An affirmative act is required before any violation of the automatic stay occurs because the turnover and stay provisions operate separately. Thus, a creditor's right to adequate protection is rolled into its property interest. This allows the creditor to secure adequate protection and adheres to the pre-Code practice regarding turnover of estate property possessed prepetition.

II. BANKRUPTCY COURTS HAVE THE EQUITABLE AUTHORITY TO GRANT SUBSTANTIAL CONTRIBUTION CLAIMS IN CHAPTER 7 CASES BECAUSE THE EXPRESS LANGUAGE OF § 503(b) CREATES A NON-EXHAUSTIVE LIST OF PERMISSIBLE EXPENSES.

Bankruptcy courts are courts of equity. *Katchen v. Landy*, 382 U.S. 323, 336 (1966). The Code itself, in § 105(a), states that a bankruptcy court may "issue any order, process or judgement that is necessary or appropriate to carry out the provisions of this title." 11 U.S.C. §105(a). A bankruptcy court may grant administrative expenses to chapter 7 creditors for substantial contributions made to the estate pursuant to § 503(b)(3)(D) in rare cases. *In re Connolly North America, LLC., 802 F.3d 810, 813 (2015*). A restriction on this ability conflicts with both § 105(a) and the express language of § 503(b). The Courts below properly granted Weinberg's administrative expense for the substantial contribution he made to the estate. (R. at 7). The *Connolly* approach incentivizes creditors to pursue funds for the estate and allows the trustee to benefit from specific knowledge or information held by creditors. *In re Javed*, 592 B.R. 615, 623 (Bankr. D. Md. 2018); *see also In re Maust Transport, Inc.*, 859 B.R. 887, 899 (2018). Weinberg's investigation of Backstreets' fraudulent transfers confers a $50,000 net benefit to the estate, after his $25,000 administrative expense is granted. (*See* R. at 7). Weinberg's substantial contribution claim does not diminish the distribution available to other claimants.

Use of the term "including" in the statute's prefatory language demonstrates congressional intent to create a non-exhaustive list. *Connolly*, 802 F.3d at 818. The language of the Code does

not require Weinberg's efforts to go unrewarded simply because his actions took place within a chapter 7 case. *Id*. All terms of a statute should be given effect. *Id. (See also Hibbs v. Winn,* 542 U.S. 88, 101 (2004)). The *Connolly* court gave effect to both the term "including" and the phrase "in a case under chapter 9 or 11 of this Title." *Id.* Congress expressly referenced these chapters within § 503(b)(3) to serve as examples of the "more common administrative expenses to be allowed." *Id.* at 817. Congress understands that substantial contributions are more likely to be made within these two chapters because there is no trustee monitoring and administering the case. *Id*. However, where a chapter 7 creditor utilizes its own resources to benefit the estate, it should be rewarded too. Congress did not intend to create a finite list of allowable expenses. Such a restriction would encumber the equitable authority needed to administer complex bankruptcy cases. Therefore, this Court should affirm the rulings below.

A. The *Connolly* court adopted a totality of the circumstances approach and not a per se rule.

The Sixth Circuit Court of Appeals in *Connolly* held that § 503(b)(3)(D) allows a chapter 7 creditor to receive an administrative expense for a substantial contribution conferred upon the estate. *Connolly,* 802 F.3d at 815. In *Connolly,* a creditor assisted in removing the chapter 7 trustee whose failure to meet discovery obligations constituted gross negligence. *Id.* at 813. The court found that failure "to award administrative expenses to the rare Chapter 7 creditors who are forced by circumstances to 'tak[e] action that benefits the [bankruptcy] estate when no other party is willing or able to do so,' would deter them from participating in bankruptcy cases and proceedings, which is plainly inconsistent with the purposes of the Act." *Id.* at 818–19.

The *Connolly* court did not create a *per se* rule allowing all chapter 7 creditors to file similar claims. Rather, the court adopted a totality of the circumstances approach allowing courts to reward the rare chapter 7 creditor whose substantial contribution merits an administrative expense.

Id. at 815. In fact, the approach favored by the *Connolly* dissent creates a *per se* bar on these expenses. *Id* at 820. This approach discourages creditors, outside of chapters 9 and 11, from pursuing funds for the benefit of the estate. *Id.* at 818. It does nothing to further the goals of the code. *Id*. The *Connolly* approach furthers the widely accepted premise that the list of § 503(b) administrative expenses is not exhaustive. *Id.* at 816. Congress anticipated the variety of administrative expenses to be encountered by courts and the need for flexibility to grant expenses that are "actual, necessary and reasonable." *Id.* at 816.

Though Weinberg did not remove a defective chapter 7 trustee, his pursuit of Backstreets' fraudulent transfers secured a substantial contribution for all creditors. (*See* R. at 7). The *Connolly* court found that equitable principals "militate" an interpretation allowing for substantial contribution claims in chapter 7 cases. *Connolly*, 802 F.3d at 818. Following the *Connolly* ruling, bankruptcy courts have granted similar administrative expenses in chapter 7 and chapter 13 cases. *See e.g.*, *In re Sharkey*, 2017 WL 5476486 (E.D. Mich. Southern Div. 2017) (stating "*Connolly* stands for the proposition that the word 'including' in § 503(b) confers discretion on bankruptcy courts to award administrative expenses on a case-by-case basis and that the express mention of Chapter 9 and Chapter 11 in § 503(b)(3)(D) does not negate that fact."). Here, the lower courts properly relied on the *Connolly* approach to determine that Weinberg's actions warranted an administrative expense.

1. This is the rare case contemplated by *Connolly* because Weinberg did not intend to impede the chapter 7 process.

As courts of equity, bankruptcy courts must be given latitude to "fashion remedies that foster rather than hinder" contributions made by parties to a case. *In re Maust Transport, Inc.*, 859 B.R. 887, 899 (W.D. Wash. 2018). The list of expenses under § 503(b) is non-exhaustive and the statue serves as a guidepost for courts when faced with unique factual situations. *Connolly*, 802

F.3d at 816–17. The *Maust* court favored *Connolly's* "rare case" rule, stating that the list of expenses in § 503(b) is not restrictive. *Maust*, 859 B.R. at 898. Absent a clear intent to disallow a certain expense, courts should grant administrative expenses based on the specific facts of each case. *Id*. This is a necessary exception, but it is not the rule. *Id.* The purpose of § 503(b)(3)(D) is to encourage creditors in all cases to "substantially contribute" to the estate by pursuing funds that will be available for distribution to all claimants. *Id.* at 888–89 (2018).

In *Maust*, the trustee did not have sufficient resources to pursue a fraudulent conveyance action. *Id.* However, the creditor, JDL, was able to pursue the action. *Id.* JDL recovered $200,000 for the estate, which after fees and costs resulted in a $130,000 net benefit to the estate. *Id.* The court held that JDL's actions were necessary and that an administrative expense was merited, thus furthering the purpose of § 503(b)'s broad language. It is important to note the trustee's inability to pursue this action. But for JDL's actions, the fraudulent conveyance action would not have been recovered for the estate. *Id.* Clearly, where a trustee is willing and able to pursue funds for the benefit of the estate, a creditor should not frustrate the chapter 7 process by duplicating these actions.

The record is silent on whether the Vin Sant was capable of pursuing the investigation without Weinberg's assistance. However, it is clear that Weinberg did not intend to duplicate Vin Sant's work. (R. at 7). The creditors investigation was his own undertaking and was done to aide in Weinberg's civil litigation against Backstreets and Clemons. (*Id.*) Weinberg's contribution is similar to JDL's and it is the only remedy that will foster similar actions in the future.

2. Weinberg did not frustrate the role of the chapter 7 trustee.

Other courts have tailored the *Connolly* approach to focus more narrowly on the role of the chapter 7 trustee. *See generally In re Maust*, 859 B.R. at 898–99*; In re Javed*, 592 B.R. at 622

(stating that intentionally duplicating the actions of the trustee should not result in a substantial contribution administrative expense). As acknowledged by the *Maust* court, creditors should not replicate the trustee's duties to seek compensation. *Maust*, 859 B.R. at 899 (stating that allowance of chapter 7 administrative expenses should be limited to avoid duplication of the trustee's efforts). The duties of the trustee, enumerated in § 704 of the Code, should not be duplicated. 11 U.S.C. § 704.

Just months after the *Maust* opinion, the Bankruptcy Court for the District of Maryland in *In re Javed* proffered a clear rule regarding this issue. *See Javed*, 592 B.R. 615. According to *Javed*, there is a rebuttable presumption that a chapter 7 creditor should not receive an administrative expense for a substantial contribution. *Id.* at 620–22. The presumption arises because chapter 7 cases are premised on the engagement of the bankruptcy trustee to administer the estate. *Id*. A debtor may overcome the presumption by first, establishing facts in support of its request, including that "the creditor's conduct was warranted under the particular circumstances of the case." *Id.* at 622. Second, the creditor must also show that it did not engage in activity usually handled by the trustee in an attempt to thwart the trustee or chapter 7 process. *Id.* at 622.

The *Javed* creditor, CPD, overcame the rebuttable presumption. *Id.* at 623. CPD demonstrated that its prepetition litigation and general familiarity with the debtor expedited and streamlined the trustee's ability to recover property for the estate, thus warranting an administrative expense. *Id.* A creditor that cooperates with the bankruptcy trustee and provides the trustee with information that enhances the value of the estate can receive a substantial contribution administrative expense. *Javed*, 592 B.R. at 622. One of the trustee's duties is to investigate the financial affairs of the debtor. *See* 11 USC § 704(4). However, Weinberg uncovered the fraudulent transfers, not Vin Sant. (R. at 7). Weinberg is familiar with both

Backstreets and Clemons due to his prepetition litigation with each party. (R. at 4, 6). There is no indication in the record that Weinberg "intended to thwart or impede the chapter 7 process." *Javed*, 592 B.R. at 622. He fulfilled the role of the trustee, but not in a self-serving manner. Rather, Weinberg provided the Vin Sant with sufficient evidence to prove that Backstreets' transfers to Patti Clemons were avoidable as fraudulent transfers under § 548 of the Code. (R. at 7). This expedited Vin Sant's ability to avoid these transfers and quickly reach a settlement with Clemons' daughter. *See Id.* Therefore, Weinberg overcomes the rebuttable presumption standard created in *Javed*.

The *Javed* court did not create a new rule, it merely tailored the *Connolly* approach into a well-articulated rebuttable presumption which only allows chapter 7 creditors an "opportunity" to request an administrative expense under § 503(b)(3)(D). *Javed*, 592 B.R. at 622. Applying the courts' reasoning in *Javed, Maust*, and *Connolly*, Weinberg can undoubtedly rebut the presumption that chapter 7 creditors should not be awarded administrative expenses for substantial contributions. Weinberg was properly awarded the $25,000 that he requested.

3. Weinberg's claim does not diminish the value of the estate for other claimants.

Generally, bankruptcy courts strictly construe administrative expenses because the allowance of such expenses reduces the funds available for distribution to other claimants. *Maust*, 589 B.R. 887 at 892 (*see also City of White Plains v. A.& S. Galleria Real Estate, Inc.,* 270 F.3d 994, 1000 (6th Cir. 2001)). Weinberg's investigation of Backstreets' transfers increased the size of the bankruptcy estate. (R. at 7). After Weinberg's expense is paid, remaining claimants will still benefit from an additional $50,000. Had Weinberg forgone the creditor investigation, each claimant would receive a smaller distribution. Weinberg should be granted the administrative

expense to encourage future creditor participation and to further the equitable purposes of the Code. *Connolly,* 802 F.3d at 818.

But for Weinberg's actions, the transfers might not have been uncovered. Someone had to incur expense. Weinberg's decision to pursue a creditors examination of Clemons was not done to duplicate Vin Sant's efforts. Rather, the collection agency employed by Weinberg initiated the investigation. (R. at 7). The purpose of the investigation was to aid in collection of Weinberg's personal guarantee. *Id*. After Weinberg provided Vin Sant with evidence of the transfers, Vin Sant merely had to file the action. Had Vin Sant discovered the transfers himself, he too would seek an administrative expense for reimbursement. *See generally* 11 U.S.C. § 503(b)(2). With no hope of recompense, future creditors will not utilize their own resources to challenge chapter 7 trustees, pursue fraudulent transfers, or recover assets for the estate. Without maximum creditor participation, the size of the bankruptcy estate might not reach its full potential.

This is not what Congress intended. Instead, Congress drafted § 503(b) so that an array of administrative expenses could be granted. *Connolly,* 802 F.3d at 816. Substantial contribution claims are permissible in rare chapter 7 cases. 11 U.S.C. § 503(b). A fair reading of § 503(b) allows this Court to grant Weinberg's claim because the statute serves as a list of examples to guide bankruptcy courts when reviewing requests for administrative expenses.

B. The term "including" in the prefatory language of § 503(b) creates a non-exhaustive list of administrative expenses.

To resolve disputes over the meaning of the Code, the court should begin with the language of the statute itself. *Connolly,* 802 F.3d at 815 (citing *United States v. Ron Pair Enters., Inc.,* 489 U.S. 235, 241 (1989)). The court's task is to "interpret the Code clearly and predictably using well established principles of statutory construction." *RadLAX Gateway Hotel, LLC v. Amalgamated Bank,* 566 U.S. 639, 649 (2012). Bankruptcy courts must also consider the equitable principles

that govern the exercise of bankruptcy jurisdiction. *Id.* (citing *Bank of Marin v. England*, 385 U.S. 99, 103 (1966)). The text of the Code supports the allowance of administrative claims for substantial contributions in a chapter 7 case. *Connolly*, 802 F.3d at 815.

Congress intended for bankruptcy courts to interpret administrative expenses broadly. The language of § 503(b) supports this position and provides, "[a]fter notice and a hearing, there shall be allowed administrative expenses, other than claims allowed under Section 502(f) of this title, *including*. . . ." 11 U.S.C. § 503(b) (emphasis added). Use of the term "including" or derivatives thereof have commonly been held to mean "not limiting." *Connolly*, 802 F.3d at 816 (citing *In re Flo-Lizer, Inc.*, 916 F.2d 363, 365 (6th Cir. 1990) (concurring with the 9th Circuit that the failure of Congress to expressly list interest as an administrative expense does not mean that it cannot be one.) *See In re Mark Anthony*, 886 F. 2d 1101 (9th Cir. 1989). Further, § 102, "Rules of Construction," states in subsection (3) that "includes" and "including" are not limiting terms. 11 U.S.C. § 102(3). The insertion of the word indicates congressional intent to provide a non-exhaustive list of allowable expenses. *Connolly* 802 F.3d at 816.

1. The term "including" negates use of the canon *expression unius est exclusion alterius.*

The Sixth Circuit in *Connolly* stated that the plain language of the Code allows § 503(b)(3)(D) administrative expenses in chapter 7 cases because it is not expressly excluded within the language of the provision. *Connolly*, 802 F.3d at 816. Just because a particular expense is not listed in § 503(b) as an allowable expense does not mean that it is excluded. *Id.* at 816. The Ninth Circuit in *In re Mark Anthony* held that § 503 "presents two contradictory aspects" because the word "including" is followed by a "series of expenses which should be treated as first priority administrative expenses." *Mark Anthony,* 886 F.2d 1101 at 1106. When a statute lists a series of items included under a general rule, the canon *expression unius est exlusio alterius* applies. *Id.* at

1106. However, the *Mark Anthony* court held that the term "including" "negates the use of *expression unius* under § 503." *Id.* at 1106 (stating that post-petition interest on taxes is allowable under § 503(b) even though it is not expressly enumerated).

Other bankruptcy courts have applied this reasoning to analyze administrative expenses. The Bankruptcy Court for the Center District of California in *In re Maqsoudi* followed the statutory interpretation proffered by the Ninth Circuit in *Mark Anthony*. *In re Maqsoudi*, 566 B.R. 40, 45 (Bankr. C.D. Cal. 2017). The *Maqsoudi* court expressly rejected a Ninth Circuit BAP decision where a chapter 7 creditor was denied a substantial contribution claim. *Id. at* 44 (2017) (citing *In re United Educ. & Software*, 2005 Westlaw 6960237 at *7 (9th Cir. B.A.P. 2005). The *United Education* court held that the term "including" makes the nine subsections in § 503(b) non-exhaustive, but states that the five examples under § 503(b)(3) are exhaustive. *United Educ. & Software*, 2005 Westlaw 6960237 at *7 (9th Cir. B.A.P. 2005). The *Maqsoudi* court rejected this argument and deemed it "illogical." *Maqsoudi*, 566 B.R. at 43–44. It is grammatically improper to interpret the term "including" broadly but only apply it to part of the statute. *Id.* at 44. The *Maqsoudi* court properly deemed the *United Educ.* interpretation "untenable" because it rendered use of the term "including" superfluous. *Id.*

Express use of the term "including" renders the cannon of *expression unius* inapplicable. This general directive in the prefatory language of § 503(b) is unambiguous. *Maqsoudi*, 566 B.R. at 45. The unmistakable purpose of the term "including" in the prefatory language negates the use of *expressio unius* because use of this cannon would render the term "including" inoperative. Congress clearly intended to provide a non-exhaustive list of examples. The term "including" should be interpreted such that the nine subsections in § 503(b) and any subsections found therein are non-exhaustive.

The use of one cannon of construction should not be used to violate another. The *Connolly* court, like the *Maqsoudi* and *Mark Anthony* courts, properly interpreted § 503(b)(3)(D). The court held that the term "including" was not trumped by *expressio unius. Connolly*, 802 F.3d at 818. This interpretation "reflects a more comprehensive understanding of the general/specific canon and its implications" regarding the issue. *Id. "*The general/specific canon is not an absolute rule, but is merely a strong indication of statutory meaning that can be overcome by textual indications that point in the other direction." *RadLAX*, 566 U.S. 639 at 646–47. Use of the term "including" indicates congressional intent to create a non-exhaustive list of examples. *Connolly*, 802 F.3d at 818. The use of *expression unius* cannot be used to "disturb yet another 'cardinal principle of statutory construction' that whenever possible, a statute should be construed so that 'no clause, sentence or word shall be superfluous, void or insignificant." *Connolly*, 802 F.3d at 818 (citing *TRW Inc. v. Andrews*, 534 U.S. 19, 31 (2001) (quoting *Duncan v. Walker*, 533 U.S. 167 (2001).

2. The surplusage canon of *verba cum effectu sunt accipienda* requires all provisions of a statute to be given effect when possible.

A statute should be construed so that effect is given to all provisions, guaranteeing that no part of the statute is rendered inoperative, superfluous, void, or insignificant. *Hibbs v. Winn,* 542 U.S. 88, 101 (2004). Courts should be "hesitant to adopt an interpretation of a congressional enactment which renders superfluous another portion of that same law." *Kawaauhau v. Geiger*, 523 U.S. 57, 62 (1998) (quoting *Mackey v. Lanier Collection Agency & Service, Inc.*, 486 U.S. 825, 837 (1988)). As such, the term "including" used in the prefatory language of the statute and the language "in chapters 9 and 11" in subsection (b)(3)(D) must be given effect. *Winn*, 542 U.S. 88 at 101. Congress predicted the flexibility required to grant administrative expenses. Thus, the term "including" should be read to preface the express expenses mentioned in § 503(b).

Effect can be given to both the prefatory language and the express language of § 503(b)(3)(D). Each administrative expense under § 503(b) serves as an example of the "common administrative expense intended to be allowed." *Connolly*, 802 F.3d at 817. Courts can more easily interpret the type of substantial contribution to be awarded by reference to chapters 9 and 11. *Id.* In these chapters, creditors are more likely to engage in activities that a trustee might complete under chapter 7 of the Code. *Id.* The trustee's job is vital to the fair administration of the bankruptcy case. *See* H.R. Rep. No. 95-595 at 88 (1978) (stating that the primary objective of the U.S. trustee is to serve as the watchdog of the bankruptcy case). In the absence of the trustee, or a capable trustee, a creditor must engage in these duties to protect and benefit the estate. Therefore, when analyzing a substantial contribution claim under chapter 7 of the code, a court should exercise caution. Chapter 7 substantial contributions are the exception and not the rule.

Courts that extend § 503(b)(3)(D) to chapter 7 creditors do so in rare situations where: (1) a creditor has a trustee removed, (2) a creditor recovers assets for the estate that the trustee was could not, or (3) a creditor expedites litigation for the trustee such that a substantial benefit is gained by the estate. *See generally Connolly*, 802 F.3d 710; *Javed*, 592 B.R. 616; *Maust*, 859 B.R. 887; *Maqsoudi*, 566 B.R. 40. In each situation, the effort of the creditor is akin to that of the trustee. *Connolly*, 802 F.3d at 817. In the average chapter 7 case, a creditor is unlikely to make such a contribution because the trustee is charged by the Code to act in this capacity. 11 U.S.C. § 704. In a case under chapter 9 or 11, creditors are much more likely to participate and monitor their case. Thus, references to these chapters provides context for courts to use in scrutinizing the "substantial benefit" offered by a creditor.

CONCLUSION

Weinberg did not violate the automatic stay provision under § 362(a)(3) by passively retaining the snow plow trucks. Neither the Code, nor its legislative history, supports the notion that anything but an affirmative act by the creditor may constitute a violation of the automatic stay provision. Further, retention of the trucks by Weinberg did not violate the stay because Backstreets' possessory interest had been destroyed.

It would be inequitable to bar Weinberg's administrative expense. Administrative expenses incentivize meaningful participation by parties to a bankruptcy case. Congress drafted § 503(b) with broad prefatory language to encourage equity and incentivize creditor cooperation. Thus, the express language of § 503(b)(3)(D) does not strip bankruptcy courts of their equitable authority to grant substantial contribution claims when merited. Weinberg benefited the estate, and all claimants, by uncovering Backstreets' fraudulent transfers. Affirmation of the bankruptcy court's ruling will incentivize future chapter 7 creditors to pursue expenses for the benefit of the estate—not because they have a right to an administrative expense, but because they have an opportunity to seek one.

This Court should hold that an affirmative act is required to violate the automatic stay and that turnover is not self-executing. Additionally, the Court should adopt the *Connolly-Javed* rebuttable presumption and hold that substantial contribution claims are permissible in chapter 7 cases. For the foregoing reasons, Respondent respectfully requests this Court to affirm the rulings below.

Respectfully submitted,

Team 28
Counsel for Respondent
Date: January 20, 201

APENDIX A

11 U.S.C. § 102

In this title--

(1) "after notice and a hearing", or a similar phrase--

> **(A)** means after such notice as is appropriate in the particular circumstances, and such opportunity for a hearing as is appropriate in the particular circumstances; but
>
> **(B)** authorizes an act without an actual hearing if such notice is given properly and if--
>
> > **(i)** such a hearing is not requested timely by a party in interest; or
> >
> > **(ii)** there is insufficient time for a hearing to be commenced before such act must be done, and the court authorizes such act;

(2) "claim against the debtor" includes claim against property of the debtor;

(3) "includes" and "including" are not limiting;

(4)–(9) [omitted]

APENDIX B

11 U.S.C. § 105

(a) The court may issue any order, process, or judgment that is necessary or appropriate to carry out the provisions of this title. No provision of this title providing for the raising of an issue by a party in interest shall be construed to preclude the court from, sua sponte, taking any action or making any determination necessary or appropriate to enforce or implement court orders or rules, or to prevent an abuse of process.

(b)–(d) [omitted]

APENDIX C

11 U.S.C. § 362

(a) Except as provided in subsection (b) of this section, a petition filed under section 301, 302, or 303 of this title, or an application filed under section 5(a)(3) of the Securities Investor Protection Act of 1970, operates as a stay, applicable to all entities, of--

(1) the commencement or continuation, including the issuance or employment of process, of a judicial, administrative, or other action or proceeding against the debtor that was or could have been commenced before the commencement of the case under this title, or to recover a claim against the debtor that arose before the commencement of the case under this title;

(2) the enforcement, against the debtor or against property of the estate, of a judgment obtained before the commencement of the case under this title;

(3) any act to obtain possession of property of the estate or of property from the estate or to exercise control over property of the estate;

(4)-(8) [omitted]

(b)–(o) [omitted]

APENDIX D

11 U.S.C. § 502

(a) [omitted]

(b) Except as provided in subsections (e)(2), (f), (g), (h) and (i) of this section, if such objection to a claim is made, the court, after notice and a hearing, shall determine the amount of such claim in lawful currency of the United States as of the date of the filing of the petition, and shall allow such claim in such amount, except to the extent that--

(1) such claim is unenforceable against the debtor and property of the debtor, under any agreement or applicable law for a reason other than because such claim is contingent or unmatured;

(2) such claim is for unmatured interest;

(3)–(9) [omitted]

(c)–(k) [omitted]

APENDIX E

11 U.S.C. § 503

(a) [omitted]

(b) After notice and a hearing, there shall be allowed administrative expenses, other than claims allowed under section 502(f) of this title, including--

(1)(A) the actual, necessary costs and expenses of preserving the estate including--

(i)-(ii) [omitted]

(B) [omitted]

(C)–(D) [omitted]

(2) [omitted]

(3) the actual, necessary expenses, other than compensation and reimbursement specified in paragraph (4) of this subsection, incurred by--

(A)–(C) [omitted]

(D) a creditor, an indenture trustee, an equity security holder, or a committee representing creditors or equity security holders other than a committee appointed under section 1102 of this title, in making a substantial contribution in a case under chapter 9 or 11 of this title;

(E)–(F) [omitted]

(4)-(9) [omitted]

(c) [omitted]

APENDIX F

11 U.S.C. § 507

(a) The following expenses and claims have priority in the following order:

(1) First:

(A) Allowed unsecured claims for domestic support obligations that, as of the date of the filing of the petition in a case under this title, are owed to or recoverable by a spouse, former spouse, or child of the debtor, or such child's parent, legal guardian, or responsible relative, without regard to whether the claim is filed by such person or is filed by a governmental unit on behalf of such person, on the condition that funds received under this paragraph by a governmental unit under this title after the date of the filing of the petition shall be applied and distributed in accordance with applicable nonbankruptcy law.

(B) Subject to claims under subparagraph (A), allowed unsecured claims for domestic support obligations that, as of the date of the filing of the petition, are assigned by a spouse, former spouse, child of the debtor, or such child's parent, legal guardian, or responsible relative to a governmental unit (unless such obligation is assigned voluntarily by the spouse, former spouse, child, parent, legal guardian, or responsible relative of the child for the purpose of collecting the debt) or are owed directly to or recoverable by a governmental unit under applicable nonbankruptcy law, on the condition that funds received under this paragraph by a governmental unit under this title after the date of the filing of the petition be applied and distributed in accordance with applicable nonbankruptcy law.

(C) If a trustee is appointed or elected under section 701, 702, 703, 1104, 1202, or 1302, the administrative expenses of the trustee allowed under paragraphs (1)(A), (2), and (6) of section 503(b) shall be paid before payment of claims under subparagraphs (A) and (B), to the extent that the trustee administers assets that are otherwise available for the payment of such claims.

(2) Second, administrative expenses allowed under section 503(b) of this title, unsecured claims of any Federal reserve bank related to loans made through programs or facilities authorized under section 13(3) of the Federal Reserve Act (12 U.S.C. 343), and any fees and charges assessed against the estate under chapter 123 of title 28.

(3)–(4) [omitted]

(7)–(10) [omitted]

(b)–(d) [omitted]

APENDIX G

11 U.S.C. § 541

(a) The commencement of a case under section 301, 302, or 303 of this title creates an estate. Such estate is comprised of all the following property, wherever located and by whomever held:

(1) Except as provided in subsections (b) and (c)(2) of this section, all legal or equitable interests of the debtor in property as of the commencement of the case.

(2)–(6) [omitted]

(7) Any interest in property that the estate acquires after the commencement of the case.

(b)-(f) [omitted]

APENDIX H

11 U.S.C. § 542

(a) Except as provided in subsection (c) or (d) of this section, an entity, other than a custodian, in possession, custody, or control, during the case, of property that the trustee may use, sell, or lease under section 363 of this title, or that the debtor may exempt under section 522 of this title, shall deliver to the trustee, and account for, such property or the value of such property, unless such property is of inconsequential value or benefit to the estate.

(b)-(e) [omitted]

APENDIX I

11 U.S.C. § 548

(a)(1) The trustee may avoid any transfer (including any transfer to or for the benefit of an insider under an employment contract) of an interest of the debtor in property, or any obligation (including any obligation to or for the benefit of an insider under an employment contract) incurred by the debtor, that was made or incurred on or within 2 years before the date of the filing of the petition, if the debtor voluntarily or involuntarily--

(A) made such transfer or incurred such obligation with actual intent to hinder, delay, or defraud any entity to which the debtor was or became, on or after the date that such transfer was made or such obligation was incurred, indebted; or

(B)(i) received less than a reasonably equivalent value in exchange for such transfer or obligation; and

(ii)(I) was insolvent on the date that such transfer was made or such obligation was incurred, or became insolvent as a result of such transfer or obligation;

(II) was engaged in business or a transaction, or was about to engage in business or a transaction, for which any property remaining with the debtor was an unreasonably small capital;

(III) intended to incur, or believed that the debtor would incur, debts that would be beyond the debtor's ability to pay as such debts matured; or

(IV) made such transfer to or for the benefit of an insider, or incurred such obligation to or for the benefit of an insider, under an employment contract and not in the ordinary course of business.

(2) [omitted]

(b)–(e) [omitted]

APENDIX J

11 U.S.C. § 704

(a) The trustee shall--

(1) collect and reduce to money the property of the estate for which such trustee serves, and close such estate as expeditiously as is compatible with the best interests of parties in interest;

(2) be accountable for all property received;

(3) ensure that the debtor shall perform his intention as specified in section 521(a)(2)(B) of this title;

(4) investigate the financial affairs of the debtor;

(5)–(12) [omitted]

(b)–(c) [omitted]